**MAHATMA GANDHI UNIVERSITY, KOTTAYAM**

**Third Semester B.Voc (Hons) Examination**

**B.Voc (H) Banking & Financial Services**

**Third Semester**

**MG3SDCBFS200- COST ACCOUNTING**

**Time: 2 Hours**

**Marks: 70**

PART A

Very Short Answer Questions

Answer any 10 questions, Each question carries 2 marks

1. Define Costing
2. Explain Opportunity Costing
3. Describe Centralized Purchasing
4. From the following information calculate prime cost
   Direct material-Rs 50,000
   Direct Labour- Rs 20,000
   Indirect Material- Rs 5,000
   Direct Expenses: Rs 2000
5. What do you mean by cost unit?
6. State two examples of office overheads
7. Explain works on cost and give two examples
8. Explain Inventory Turnover Ratio
9. What is overhead?
10. Distinguish between cost center and profit center
11. What is Bin Card
12. What is EOQ? ( 2*10=20)

PART B

Short Answer Questions

Answer any 6 questions, Each question carries 5 marks

13. Explain the different causes for disagreement in profit
14. From the following of Product A calculate
    a. Minimum Level
    b. Maximum Level
    c. Danger level
       Maximum Usage: 300 units

Minimum Usage- 200 units
Average usage – 225 Units
Maximum Reorder Period- 6 months
Minimum Reorder period- 2 months
Reordering Quantity- 250 units

15. Distinguish between cost control and cost reduction
16. . Prepare the proforma of a detailed cost sheet with imaginary figures
17. From the following information ,prepare cost sheet

| Stock | 1-4-2025 | 31-3-2026 |
|---|---|---|
| Raw Material | 8000 | 8800 |
| Work in progress | 1920 | 6400 |
| Finished Goods | 6400 | 12840 |

| | |
|---|---|
| Purchase of raw material | Rs 48,000 |
| Direct labour | Rs40, 000 |
| Works on cost | Rs16, 800 |
| Office overheads | Rs 3200 |
| Selling overheads | Rs 9600 |
| Sales | Rs 1, 20,000 |

18. Standard time allowed for a work is 48 hrs, A worker takes 40 hrs to complete the job. Time rate is 10/hr. Calculate the earnings of the worker under Rowan Plan

19. X Ltd has two production departments : Dept A and Dept B and three services department S1,S2 and S3 respectively. The following expenses incurred for the month of January 2025

Production Department

A Rs72,000

B Rs 48,000

Service department

S1 Rs 10,000

S2 Rs15,000

S3 Rs 12,000

The following are other information relating to the above departments

| Items | S1 | S2 | S3 | A | B |
|---|---|---|---|---|---|

| | | | | | |
|---|---|---|---|---|---|
| No of employee | 5 | 10 | 5 | 10 | 25 |
| No of stores requisition | --- | ---- | 12 | 48 | 110 |
| Machine hours | --- | ----- | ----- | 700 | 720 |

Show the overhead apportionment under Step Ladder Method (5*6=30)

## PART C

### Essay Questions

Answer any 2 questions, each question carries 10 marks

20. ABC ltd has four departments: Dept A, Dept B, Dept C, and Dept D respectively. A,B and C are production department whereas D is Service Department. The actual expenses for the period is as follows:

| | |
|---|---|
| Rent | Rs12, 000 |
| Repairs | Rs 8,400 |
| Depreciation to plant | Rs 5,600 |
| Lighting | Rs 1,400 |
| Supervision | Rs21, 000 |
| Fire Insurance | Rs 6000 |
| Employer's contribution to PF | Rs 1,800 |
| Power | Rs 10,800 |

The following details are available in respect of four departments

| | Dept A | Dept B | Dept C | Dept D |
|---|---|---|---|---|
| Floor Area | 900 | 600 | 540 | 300 |
| No:of workers | 8 | 6 | 4 | 6 |
| Horese power of machines | 20 | 10 | 6 | _____ |

| | | | | |
|---|---|---|---|---|
| Total wages | 75000 | 60000 | 45000 | 30000 |
| Value of plant | 3,00,000 | 2,40,000 | 1,80,000 | 1,20,000 |
| Vlue of stock | 1,80,000 | 108000 | 72000 | ---- |
| Light points | 10 | 8 | 6 | 4 |

Apportion the cost to various departments

21 From the following information, prepare the stores ledger under FIFO and LIFO method

July 1 Purchased 300 Units @ Rs 10

July 4 Issued 120 units

July 7 Purchased 220 units @Rs 11

July 18 Issued 200 units

July 29 Purchased 100 units @ Rs 12

22. Briefly explain the different classification of cost (10*2=20)